

Brent Crashes 7% to \$101 on Iran 14-Point MoU Hopes — Smallcaps Hit 4th ATH, Nifty Gains 0.75%

Two consecutive weekly gains. Mid- and Smallcaps fresh ATHs. Brent's 7% drop on US-Iran MoU hopes lifts the rupee back to ₹94.48. The dispersion has shifted — equities have decoupled from oil panic.

Week of May 3 — May 9, 2026 | Vol. 1, Issue 10

Trust. Protect. Grow.

DECOUPLING

▣ SMID ATHs — Smallcap 100 4th ATH, Midcap 100 fresh ATH 61,911 | Nifty +0.75% (2nd weekly gain) | Brent -7% to \$101 on 14-pt Iran MoU | Rupee recovers to ₹94.48

NIFTY 50 24,176 ▲ +0.75% WoW	SENSEX 77,328 ▲ +0.54% WoW	BRENT CRUDE \$101.0 ▼ -7% WoW	USD/INR 94.48 ▼ -0.88% (recovered)
INDIA VIX ~17.3 ▼ Drifted from 18.46	SMALLCAP 100 4th ATH ▲ Consecutive new highs	RBI REPO RATE 5.25% Held • Next MPC Jun 3-5	



Indian Equities

BSE & NSE Weekly Performance

Indian equities posted a second consecutive weekly gain. The Nifty 50 closed at 24,176.15 (+0.75% WoW) and the Sensex at 77,328.19 (+0.54% WoW), recovering through the week despite a soft Friday print (Nifty -150.50 / -0.62%; Sensex -516.33 / -0.66%). The intra-week peak came on Wednesday May 7, with Nifty touching 24,326 — the highest level since early April. The narrative completely flipped from the prior week: Brent collapsed roughly 7% from \$126 to ~\$101/bbl on US-Iran 14-point MoU hopes (Trump's one-page draft framework to end the war), the rupee recovered from its record low of ₹95.32 (Apr 30) to ₹94.48, and India VIX drifted lower to ~17.3.

The real story, however, was the broader market. The Nifty Midcap 100 hit a fresh all-time high of 61,911, and the Nifty Smallcap 100 printed its 4th consecutive ATH (+0.22% Friday alone). On Friday, weakness in PSU Banks (-3.06%) and Financial Services (-1.66%) dragged the headline indices — but Nifty IT (+1.2%) and Nifty Capital Markets led the defensive bid, with IT recovering from the prior week's beating. Despite a sharp single-day FII sell of -₹5,835 Cr on May 6 (concentrated in PSU banks/financials), DIIs absorbed +₹6,837 Cr the same day — the largest single-day domestic buy in two weeks.

THE DECOUPLING IS THE STORY

Brent fell 7% on Iran MoU hopes — but Indian equities only added 0.75% on Nifty. Smallcaps and Midcaps hit fresh ATHs while the headline index churned. This says: domestic SIP-driven flows are now the dominant force in mid- and smallcap discovery. Oil-driven panics are fading in importance; the ₹32K Cr/month SIP floor + Q4 earnings strength (Bajaj Auto +48% YoY, Bajaj Finance ₹5L Cr AUM) are the new structural pillars.

Sectoral Heatmap (Friday May 8 — Where Action Concentrated)

NIFTY IT +1.2%	CAP MKTS Lead	SMALLCAP 100 +0.22%	PSU BANK -3.06%	FIN SVCS -1.66%	MIDCAP 100 ATH 61,911
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▲ WEEKLY THEMES

Smallcap 100	4th ATH
Midcap 100	61,911 (ATH)
Nifty IT	+1.2% Fri
Bajaj Auto (Q4)	PAT +48% YoY
Bajaj Finance AUM	₹5.1L Cr (+22%)

▼ WEEKLY PRESSURE POINTS

PSU Bank Index	-3.06% Fri
Fin Svcs	-1.66% Fri
FII (May 6)	-₹5,835 Cr
Nifty 50 (Fri)	-150.50
Sensex (Fri)	-516.33

PROFIT-BOOKING IN PSU BANKS; SMID ON DOMESTIC CONVICTION

PSU Bank weakness is profit-booking after a strong run, accentuated by FII concentration on the most liquid financials. Smallcap and midcap ATHs — 4th in a row for Smallcap 100 — are direct evidence of structural domestic demand: SIPs of ₹32,087 Cr/month (March record) absorbing whatever FIIs sell. The week's key behavioural lesson: if you indexed the headline, you missed the broader-market upmove. A diversified flexi-cap or multi-cap regular plan captured both.



Global Macro & Fed

14-Point Iran MoU Drives The Risk-On Pivot

The dominant global development this week was Trump's one-page 14-point MoU draft framework to end the Iran war — now in advanced negotiation. Brent crashed roughly 7% from \$126 to ~\$101/bbl on the peace narrative, although fresh Friday clashes brought a modest reversal. Iran war Day 65+ continues with intermittent ceasefire violations, but markets are firmly pricing in eventual resolution. The US Fed's April 29 hold at 3.50-3.75% with the 8-4 dissent (most divided since Oct 1992) remains the binding constraint — market-implied odds of a 2026 cut are still depressed. Hormuz status is fluctuating with peace prospects (brief reopen-shut cycles).

VARIABLE	LEVEL	NOTE
US Fed Funds Rate	3.50-3.75%	Held Apr 29 (8-4 dissent)
2026 Cut Odds	Near-zero	Hawkish hold pricing
Iran War	Day 65+	14-pt MoU drafted
Brent (week)	-7% to \$101	Peace narrative
Hormuz	Reopen-shut	Tracking peace prospect

HAWKISH FED + COOLING OIL = NET POSITIVE FOR INDIA

The combination has flipped: oil retreated 7%, the rupee has recovered 88 paise from the record low, and the Fed's hold — while still hawkish — is now baked in. Lower Brent eases India's import bill, narrows CAD pressure, and reduces inflation pass-through. The June 3-5 MPC will likely hold given the Fed's hawkish 8-4 dissent, but the burden on RBI to defend the rupee has eased materially.



Currency & Forex

Rupee Recovers from ₹95.32 Record Low to ₹94.48

The Indian rupee staged a clean recovery this week, paring losses from the prior week's record low of ₹95.32 (Apr 30). RBI reference rate closed at ₹94.44 on May 8 with spot at ₹94.48 — a recovery of approximately 88 paise. The driver was the Brent collapse: with crude down 7% on Iran MoU hopes, the import bill stress eased and dollar demand from oil importers cooled. The dollar index also softened modestly as global risk appetite returned. The recovery is constructive — but until the Iran MoU is signed, the ₹94.50 level is best treated as the new pivot rather than a confirmed reversal.

USD/INR Spot (May 8)	94.48
RBI Reference (May 8)	94.44
Prior Week Low (Apr 30)	95.32 (record)
Week Recovery	~88 paise
Driver	Brent -7%



Institutional Flows

DII's Absorb FII Sell — Largest Single-Day Buy in 2 Weeks

Institutional flow asymmetry was the defining feature of mid-week trading. On May 6 alone, FIIs sold -₹5,835 crore in cash equity (concentrated again in PSU banks & financials), while DIIs bought +₹6,837 crore — the single largest domestic buy in two weeks. The DII number is direct evidence of the SIP floor at work: with March 2026 SIPs at a record ₹32,087 Cr, AMCs have ongoing dry powder to absorb FII selling without it pressuring broader-market prices. Smallcap 4th ATH is the consequence.

FLOW	MAY 6 (SINGLE DAY)	TREND
FII (Cash Equity)	-₹5,835 Cr	PSU bank concentration
DII (Cash Equity)	+₹6,837 Cr	Largest in 2 weeks
Smallcap 100	4th ATH	SIP floor visible
Mar SIPs (record)	₹32,087 Cr	Apr release imminent

DII ABSORPTION THESIS INTACT

The +₹6,837 Cr DII print on May 6 was the largest single-day domestic buy in 2 weeks — and exactly what kept Smallcap 100 making fresh ATHs while FIIs were selling banks. This is the structural ₹32,087 Cr/month SIP floor in real time. The April AMFI data (release expected May 9-10) is the next confirmation point.



Commodities

Brent -7% to \$101 on Iran 14-Point MoU; Gold Eases on Risk-On

Brent crude crashed roughly 7% on the week, falling from \$126.41 (Apr 30 high) to approximately \$101/bbl on Trump's 14-point one-page MoU draft framework to end the Iran conflict. Friday's intraday Iranian clashes brought a modest reversal but the directional move was decisive. WTI tracked the move lower. Gold eased as safe-haven demand cooled with the peace narrative; with rupee recovering, MCX gold also softened in INR terms. The energy backdrop has shifted from "most stressed since 2022" to "actively healing".

Commodity	Level	Trend
Brent Crude	~\$101/bbl	▼ -7% WoW
WTI Crude	~\$97/bbl	▼ Tracking Brent
Gold (MCX)	Easing	Risk-on rotation
Iran War	Day 65+	14-pt MoU drafted
Hormuz	Fluctuating	Reopen cycles

TRUSTNER VIEW — ENERGY BACKDROP HEALING

Every \$10/bbl that Brent retreats below \$100 trims roughly \$15 billion off India's annual import bill, reduces CAD by ~0.3% of GDP, and dampens CPI by 25-40 bps. The week's 7% Brent fall is meaningful relief. That said, until the 14-point MoU is signed and Hormuz is reliably open, treat this as healing — not resolution. The defensive playbook stays: continue equity SIPs in flexi-cap and multi-cap regular plans; the small (5-10%) tactical gold or international allocation can be trimmed only after the MoU is formally executed.



Fixed Income

10-Yr G-Sec Eases Below 7% as Brent Cools; June Cut Still Off Table

India's 10-year G-Sec yield eased to just below 7.00%, pulling back from its 1-month high. The combination of Brent down 7%, rupee recovering 88 paise, and India VIX drifting lower softened inflation expectations and revived appetite for sovereign duration. The US 10-year held in a 4.40-4.50% range; OIS swap-implied odds of a June MPC cut remain low given the Fed's hawkish 8-4 dissent. The yield curve eased modestly across tenors.

Bond	Yield	Move
India 10-Yr G-Sec	<7.00%	▼ Eased from 1-mo high
US 10-Yr Treasury	~4.45%	Range-bound
IN-US Spread	~250 bps	Stable



RBI & Policy

June Hold Still Likely Despite Brent Cooling

Repo Rate	5.25% (Held Apr 8)	Stance	Neutral
FY27 GDP	6.9% (Q4 at 7.2%)	Governor	Sanjay Malhotra
Next MPC	June 3-5, 2026		

RBI OUTLOOK — JUNE MPC LIKELY HOLD

Even with Brent down 7% and the rupee recovered to ₹94.48, the June MPC will likely hold rates at 5.25%. The Fed's 8-4 dissent and near-zero 2026 cut odds keep RBI's hands tied — cutting now would reopen rupee pressure. For debt fund investors with new capital, short-duration regular plans (low-duration funds, money market) remain the safer positioning until the global rate-cut window reopens. Existing long-duration holdings can be retained but not added to.



Economy Watch & Q4 Earnings

Bajaj Auto +48%, Bajaj Finance Crosses ₹5L Cr AUM

COMPANY	DATE	Q4 FY26 RESULT
Bajaj Auto	May 6	PAT ₹3,492.21 Cr (+48% YoY); Rev +41%; ₹150/sh div
Bajaj Finance	Reported	AUM ₹5,09,975 Cr (+22% YoY)
Paytm	May 6	Reported in batch
Meesho	May 6	Reported
Polycab India	May 6	Reported (~58 firms)
Maruti Suzuki	Expected	Rev ₹38.5-41K Cr; PAT ₹3.9-4.5K Cr
Tata Motors	May 13 (next wk)	Preview only

Q4 QUALITY — AUTO & NBFC LEAD

Bajaj Auto's PAT of ₹3,492.21 Cr (+48% YoY) on revenue growth of +41% is one of the strongest Q4 prints from large-cap autos this season, capped by a generous ₹150/share dividend. Bajaj Finance crossing ₹5 lakh crore AUM (₹5,09,975 Cr vs ₹4,16,661 Cr YoY = +22%) is a structural milestone — only a handful of NBFCs globally have reached this scale. Roughly 58 companies reported on May 6 alone (Paytm, Meesho, Polycab India among them). Maruti Q4 (Rev ₹38.5-41K Cr, PAT ₹3.9-4.5K Cr expected) and Tata Motors (May 13) are next week's headliners.



Digital Assets

Risk-On Bid Returns on Iran MoU

Bitcoin (BTC)	~\$78,500
Ethereum (ETH)	~\$2,420
Crypto Mkt Cap	~\$2.62T

Crypto firmed modestly as risk-on bid returned with Brent -7% and the Iran MoU narrative. India's 30% flat tax + 1% TDS regulatory regime is unchanged. For goal-based portfolios we continue to recommend zero crypto exposure — the asset class still shows correlation with equity drawdowns and fails the diversification test when most needed.



Mutual Fund Pulse

April AMFI Release Imminent • March Record ₹32,087 Cr SIP Holds

SIP Flows (Mar — Record)	₹32,087 Cr
MF AUM (Mar)	₹73.73 Lakh Cr
10-Yr AUM Growth	6× (Mar '16: ₹12.33L Cr)
AMFI Apr Release	May 9-10 (imminent)
Top Category	Flexi Cap / Multi Cap
SIP Floor Per Day	~₹1,070 Cr

TRUSTNER VIEW ON MFS — SMALLCAP ATH IS THE FLOOR AT WORK

Smallcap 100 hitting a 4th consecutive ATH while FIIs sold ₹5,835 Cr on May 6 is the cleanest evidence yet that the SIP floor is now structurally large enough to absorb FII volatility in mid- and smallcap names. The 10-year industry AUM growth from ₹12.33 trillion (Mar 2016) to ₹73.73 trillion (Mar 2026) — a 6× expansion — is the tide that lifts patient SIP investors. Continue your SIPs without interruption. If you have surplus cash, top up into existing flexi-cap and multi-cap regular plans — not lump-sum into smallcaps at ATH.



IPO Watch

Calmer Macro Reopens The Window

ACTIVITY	STATUS	NOTE
Mainboard	Window opening	VIX easing helps issuers
SME segment	Selective	Quality launches preferred
Reliance Jio IPO	Q3 FY27	On track per guidance
NSE IPO	FY27	Awaiting clearances

With Brent down 7%, the rupee recovered, and India VIX drifting back to ~17.3, the primary-market window is reopening. Issuers waiting for a calmer backdrop now have it — expect mainboard activity to pick up in late May. Mega IPOs (Reliance Jio, NSE) remain on the FY27 calendar.



Trustner View — The Decoupling Lesson

Domestic SIPs Are Now The Dominant Force; Oil Panic Is Fading

Two weeks ago, Brent at \$126 + rupee at ₹95.32 + Fed hawkish hold delivered a flat Nifty with violent sector dispersion. This week, Brent down 7% on Iran MoU hopes delivered Nifty +0.75% — but Smallcap 100 hit a 4th consecutive ATH and Midcap 100 a fresh ATH at 61,911. The headline index is increasingly an incomplete story.

- Brent -7% on Trump 14-point one-page MoU draft (peace narrative dominant)
- Rupee recovered 88 paise from ₹95.32 record low to ₹94.48
- Smallcap 100 4th ATH; Midcap 100 fresh ATH 61,911
- FII -₹5,835 Cr May 6, DII +₹6,837 Cr (largest single-day in 2 weeks)
- Bajaj Auto Q4 PAT +48% YoY; Bajaj Finance AUM crosses ₹5L Cr
- 10-Yr G-Sec eases below 7% as inflation expectations cool

FOR ACTION: SIP INVESTORS & DEBT INVESTORS

SIP investor: continue without interruption — you are the floor. Top up into existing flexi-cap and multi-cap regular plans rather than chasing Smallcap ATHs. **Debt investor with new capital:** short-duration regular plans are the safer positioning until the global rate-cut window reopens; June MPC will likely hold given the Fed's hawkish 8-4 dissent. The behavioural coaching, goal mapping, and rebalancing your MFD provides through volatility is the structural value that compounds — that is precisely what you are paying for in regular plans.



Week Ahead

Key Events (May 12 – May 16)

09
MAY

AMFI April Data Release (Imminent)

April SIP, equity MF inflow, and AUM numbers expected May 9-10. Sustained ₹32,000+ Cr SIP would confirm the structural floor through the volatility weeks.

12
MAY

India CPI (Apr) • IIP

Mid-month inflation print. With Brent now back to \$101 and rupee at ₹94.48, watch for a softer-than-feared CPI — could ease the rate-cut path narrative.

13
MAY

Tata Motors Q4 Result

One of the most-tracked Q4 prints. JLR margins, India CV momentum, and EV trajectory will drive the auto-sector reaction.

??
MAY

Maruti Suzuki Q4 • US CPI (Apr)

Maruti expected to print Rev ₹38.5-41K Cr / PAT ₹3.9-4.5K Cr. US CPI guides Fed-path expectations and dollar.



This Week's Wisdom

Quote · Trustner Action

"The four most dangerous words in investing are: 'this time it's different.'"

— Sir John Templeton

Your SIP Is The Floor — Don't Step Off It

Smallcap 100 hit a 4th ATH while FII's sold ₹5,835 Cr in one day. DII's absorbed ₹6,837 Cr the same day — the largest in 2 weeks. That's your ₹32,087 Cr/month SIP floor at work. Continue, and consider a top-up into flexi-cap regular plans.

Schedule a Review

Explore MeraSIP



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